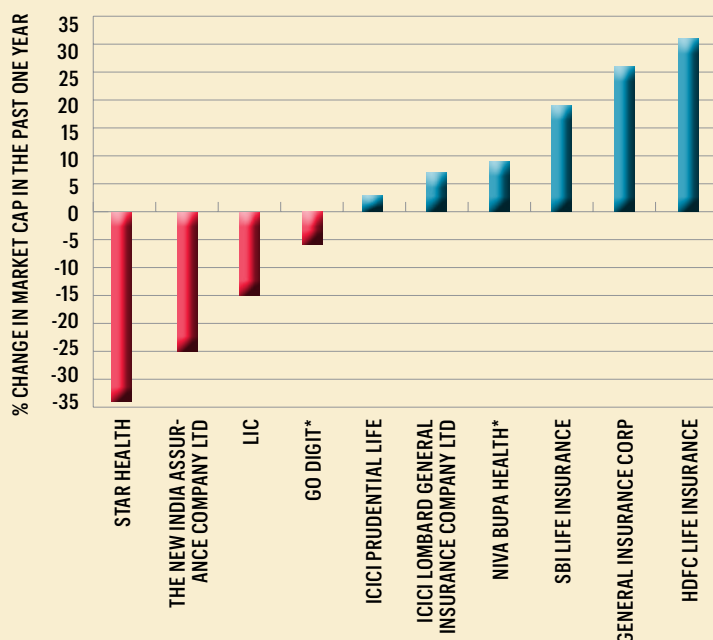
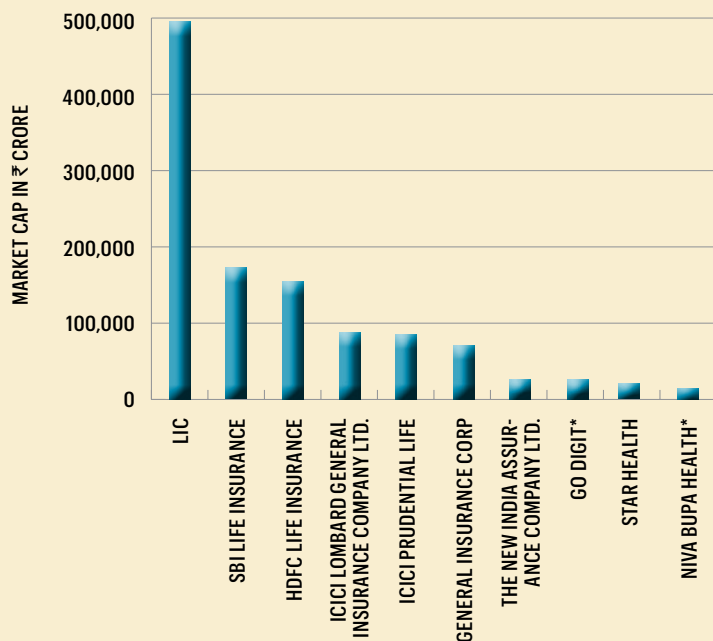


STOCK WATCH

- Insurance behemoth LIC has witnessed nearly 15% erosion in its market valuation in the past one year
- HDFC Life Insurance has been the best performing stock in the pack



NOTE *GO DIGIT LISTED ON MAY 23, 2024, AND NIVA BUPA HEALTH INSURANCE ON NOV 14, 2024; DATA TILL MAY 7

SOURCE ACE EQUITY

A

AS NEW PLAYERS enter, they need to focus on innovation to cater to the diverse needs of India's growing population. For instance, as per the McKinsey report cited earlier, with life expectancy rising from 62 years in 2000 to 70.6 years in 2021, customers aged 41 and above will require increasing levels of care. Allowing composite licences and enabling the conversion of life insurance products into long-term care (LTC) products can make healthcare more affordable.

In a customer survey conducted, by McKinsey, 67% of respondents said they would be more likely to purchase insurance if offered a life-health composite product. In Asia, some life insurers already offer premium retirement centres as part of their life insurance coverage. In China, for example, life insurers provide products that allow customers to convert their life insurance into LTC products.

Moreover, the industry has already made strong progress with innovations such as tailored plans for diabetes, heart and cancer patients, ₹1 crore covers, shorter maternity waiting periods, and OPD coverage. Going forward, the focus needs to shift to bridging the protection gap for underserved segments—people with disabilities, mental health conditions, HIV/AIDS, and those seeking AYUSH care—ensuring broader accessibility. AYUSH stands for Ayurveda, Yoga, Naturopathy, Unani, Siddha, and Homoeopathy.

“Technology, especially AI and ML, will be key enablers. From hyper-personalised policies to dynamic risk-based pricing, tech will help insurers better understand and serve customers,” says Singh of PB Fintech. The goal is not just to sell more, but deliver better—multilingual, human-